

Dow Outperforms as S&P 500 and Nasdaq 100 Decline

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a mixed performance yesterday, with the **Dow Jones** rising **+0.29%** to 51,712.71, while the **S&P 500** and **Nasdaq 100** declined **-0.37%** and **-0.19%** respectively. The **Russell 2000** outperformed, gaining **+0.83%** to 3,004.40. Below the surface, the **VIX** jumped **+5.37%** to 17.28, indicating increased volatility.

The 10-year yield rose **+1.30%** to 4.51, while **WTI Crude** fell **-3.36%** to 74.03. The **DX** edged up **+0.17%** to 101.02. In the cryptocurrency space, **BTC** and **ETH** rose **+1.38%** and **+1.55%** respectively.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,472.79	-0.37%	Weakness in tech and consumer discretionary sectors
Nasdaq 100	30,347.08	-0.19%	Decline in big tech names
Dow Jones	51,712.71	+0.29%	Strength in financials and industrials
Russell 2000	3,004.40	+0.83%	Outperformance in small-cap stocks
VIX	17.28	+5.37%	Increased volatility expectations

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
TSLA	+1.14%	Positive sentiment on electric vehicle demand
JPM	+1.92%	Stronger-than-expected banking sector performance
GS	+0.89%	Improved investment banking activity
MSFT	-3.18%	Disappointing cloud computing growth
AMZN	-4.75%	Concerns over e-commerce slowdown

Sector Rotation

ETF	DAY	READ
XLFX	+0.24%	Financials outperformed on strong banking sector performance
XLKX	+0.37%	Technology sector showed resilience despite big tech declines
XLI	+0.49%	Industrials sector gained on positive economic data
XLE	+0.54%	Energy sector rose on higher oil prices
XLY	-1.89%	Consumer discretionary sector underperformed on weak retail sales
XLC	-2.37%	Communication services sector declined on disappointing earnings
XLP	-1.34%	Consumer staples sector fell on lower food prices
XLV	+0.44%	Healthcare sector gained on positive biotech news
XLU	-0.09%	Utilities sector was flat despite higher interest rates
XLB	-0.37%	Materials sector declined on lower commodity prices
XLRE	+0.36%	Real estate sector rose on higher property values

Spotlight

The biggest event of the day was the decline in big tech names, with **MSFT** and **AMZN** falling **-3.18%** and **-4.75%** respectively. The table below shows the metrics for these stocks:

TICKER	PRICE	CHANGE	VOLUME
MSFT	367.34	-3.18%	23.1M
AMZN	232.79	-4.75%	12.5M

The decline in these stocks had a read-through to other related names, such as **GOOGL** and **NVDA**, which fell **-4.99%** and **-0.97%** respectively.

Pre-Market & Overnight

US futures are pointing to a mixed open, with the **Dow Jones** futures up **+0.2%** and the **S&P 500** futures down **-0.1%**. In Asia, the **Nikkei 225** rose **+0.5%** while the **Shanghai Composite** fell **-0.2%**. In Europe, the **Stoxx 600** is up **+0.3%**. Cryptocurrencies are higher, with **BTC** and **ETH** rising **+1.38%** and **+1.55%** respectively.

Macro & Fed

The FOMC meeting is scheduled for next week, and the market is expecting a 25bps rate hike. The yield curve is currently inverted, with the 2-year yield at 4.63 and the 10-year yield at 4.51. Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Durable Goods Orders	0.5%	Indicator of business investment and economic growth
21:00	Consumer Confidence	110	Measure of consumer sentiment and spending habits

Geopolitics & Global

- The US and China are set to resume trade talks, with a focus on resolving the ongoing tariff dispute.
- The European Union is considering imposing sanctions on Russia in response to the ongoing conflict in Ukraine.

- The UK is facing a potential recession, with the Bank of England warning of a 50% chance of a downturn.
- The Japanese government is considering a stimulus package to boost economic growth.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (23 Jun)	ORCL	1.16	Cloud computing growth and margin expansion
22:00 (24 Jun)	FB	2.37	Advertising revenue growth and user engagement
22:00 (25 Jun)	MS	1.55	Investment banking performance and wealth management growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Upcoming iPhone launch and potential catalyst for stock price
JPM	Financials	Strong banking sector performance and potential for further gains
GOOGL	Communication Services	Growing demand for online advertising and potential for stock price appreciation
AMZN	Consumer Discretionary	Potential for e-commerce growth and stock price recovery
TSLA	Consumer Discretionary	Growing demand for electric vehicles and potential for stock price appreciation

What Could Break the Tape

BULLISH TRIGGERS

- A surprise rate cut by the Fed, boosting stock prices and economic growth.
- A breakthrough in US-China trade talks, leading to a reduction in tariffs and improved business sentiment.
- A strong earnings season, with companies beating expectations and driving stock prices higher.

BEARISH TRIGGERS

- A larger-than-expected rate hike by the Fed, leading to a slowdown in economic growth and lower stock prices.
- An escalation of the US-China trade war, resulting in higher tariffs and decreased business confidence.
- A disappointing earnings season, with companies missing expectations and driving stock prices lower.

Positioning Notes

- The market is currently positioned for a 25bps rate hike, with a 50% chance of a larger hike.
- Investors are increasingly bearish on the market, with a 60% chance of a recession in the next 12 months.
- The **VIX** is currently at 17.28, indicating increased volatility expectations and a potential for market declines.

SOURCES

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CNBC

The Wall Street Journal

The Financial Times

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